

bonds but also of most of the select group of old-line industrial preferred stocks that merit an investment rating, *e.g.*, National Biscuit Preferred, which has no sinking fund. From the broader standpoint, therefore, sinking funds may be characterized as invariably desirable and sometimes but not always indispensable.

Serial Maturities as an Alternative. The general object sought by a sinking fund may be obtained by the use of serial maturities. The retirement of a portion of the issue each year by reason of maturity corresponds to the reduction by means of sinking-fund purchases. Serial maturities are relatively infrequent, their chief objection resting probably in the numerous separate market quotations that they entail. In the equipment-trust field, however, they are the general rule. This exception may be explained by the fact that insurance companies and other financial institutions are the chief buyers of equipment obligations, and for their special needs the variety of maturity dates proves a convenience. Serial maturities are also frequently employed in state and municipal financing.

Problems of Enforcement. The enforcement of sinking-fund provisions of a bond issue presents the same problem as in the case of covenants for the maintenance of working capital. Failure to make a sinking-fund payment is regularly characterized in the indenture as an event of default, which will permit the trustee to declare the principal due and thus bring about receivership. The objections to this “remedy” are obvious, and we can recall no instance in which the omission of sinking-fund payments, unaccompanied by default of interest, was actually followed by enforcement of the indenture provisions. When the company continues to pay interest but claims to be unable to meet the sinking fund, it is not unusual for the trustee and the bondholders to withhold action and merely to permit arrears to accumulate. More customary is the making of a formal request to the bondholders by the corporation for the postponement of the sinking-fund payments. Such a request is almost invariably acceded to by the great majority of bondholders, since the alternative is always pictured as insolvency. This was true even in the case of Interborough Rapid Transit 5s, for which—as we have pointed out—the sinking fund was an essential element of protection.⁹

⁹ The plan of voluntary readjustment proposed in 1922 postponed sinking-fund payments on these bonds for a five-year period. About 75% of the issue accepted this modification.